DRN-1719844

The complaint

Mr and Ms S complain that Internet Insurance Services UK Ltd ("IIS") sold them an unsuitable buildings insurance policy.

What happened

In April 2010 Ms S contacted IIS, an insurance broker, to purchase an insurance policy which would cover her home while it was unoccupied during renovation. An extension was being built, and Ms S required cover for the buildings whilst work was taking place and the property was unoccupied. IIS provided a quote to Ms S, which she proceeded with.

Some years later, in 2019, Ms S discovered a problem with the roof of the extension. She said it had been caused by poor workmanship on the part of the builders who carried out the renovation work. Ms S says she contacted ISS to enquire about making a claim on the policy. But IIS said the claim wouldn't be covered. It explained the policy only provided cover for fire; lightning, explosion and aircraft, not for the workmanship of the builder undertaking the renovation. Moreover, the policy had lapsed in 2011.

In May 2019 Ms S complained. She said the policy had been mis-sold because it wasn't suitable. Additionally, because the policy was known as a Residential Let Policy, Ms S said it was nothing to do with their circumstances at the time and implied they were letting the property, which they weren't.

IIS wrote to Ms S in July 2019. It said its advisors had been clear about what the policy provided cover for. IIS also said it had provided Ms S with a statement of fact, policy wording and an insurance schedule. It said this documentation was clear and not misleading.

Ms S remained unhappy so she brought the complaint to our service. An investigator looked at what had happened, but he didn't think the complaint should be upheld. He said he'd listened to the calls between Ms S and IIS. He was satisfied IIS explained what would be covered, and that the level of cover was outlined in the policy documents. He also thought the policy was suitable. He said this because he'd read the policy terms, and the policy did provide cover for an unoccupied property.

Ms S disagreed. She still thought the policy wasn't suitable, and that its name implied the property had been let, which wasn't the case. Ms S thought this could cause issues with her mortgage provider.

The investigator reconsidered, but he didn't change his mind. He was still satisfied the policy provided the cover Ms S had asked for, and that the level of cover was clearly explained. He also said he had thought about the name of the policy, but he didn't think the name in itself made a difference, because the policy provided the cover needed and there was no evidence the property would be let out.

Ms S asked for an ombudsman's decision. She remained of the opinion that the policy had been mis-sold, and that a policy that covers a residential let is not the same as a policy that covers a residential property. Additionally, Ms S said she felt IIS had discriminated against her. So the complaint has been passed to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mr and Ms S's complaint arose after Ms S contacted IIS in April 2019 to see if she could make a claim following a problem with the roof. When she was told she couldn't, Ms S checked the policy documents and found the policy covered residential let properties. This forms the crux of the complaint; that the policy was mis-sold because it wasn't right for her circumstances and she wasn't letting the home.

It seems IIS sold the policy as part of an advised sale. This means it recommended the policy to meet its customer's needs. IIS would've had to ensure the proposed contract of insurance was consistent with Mr and Ms S's needs, and that it had taken reasonable care to ensure the suitability of its advice.

So I need to consider whether IIS fulfilled these responsibilities, and treated Mr and Ms S fairly, when it sold the policy.

Ms S gave much of the detail about her insurance needs online before she called IIS. I've been provided with two call recordings which let me hear that Ms S's needs, and the policy itself, were also discussed extensively on the phone. Ms S's requirement was buildings cover while her property was unoccupied and undergoing structural work. Speaking to IIS on the phone, Ms S provided two estimates for the cost of a full rebuild should anything happen. She also explained that she would be living in the property once building work was complete.

Based on this information IIS sourced a policy that provided reduced cover for unoccupied properties as part of a *Residential Let Property Scheme*. In the first call, the advisor explains:

"This insurer will cover you whilst the property's unoccupied… All this policy will cover whilst works are getting done is fire, lightning, earthquake, explosion and property owners' liability. That's it… Won't cover theft, malicious damage, escape of water or storm damage…"

I think that's clear enough for Ms S to understand the level of cover the policy provided.

In the second call Ms S asked several questions. She asked whether the policy was the right one given its name indicated it was applicable to residential lets. IIS's advisor explained the insurer:

"…have a let policy that they deal with unoccupied properties on as well. So that's what we go through…"

The policy name is an important point for Ms S. She's said the policy wasn't suitable for her needs because it covered residential let properties. So I've thought carefully about whether Ms S was misled. I asked Ms S to provide some additional information, particularly about what she's said regarding discrimination against her. The extra detail she's provided has been very helpful, and it has allowed me to gain a better understanding of her complaint. So I'd like to pass on my sincere thanks to Ms S for taking the time to explain things further.

In summary, Ms S has said she was told *'residential'* is the same as '*residential let'.* And this implied she was unable to understand the wording. Having thought about what she's said, I can understand why the name of the policy might be confusing. On balance, perhaps further explanation from IIS early in the sales process would've helped to clear things up. So it's unfortunate that didn't happen.

Having said that, I've not seen any requirement that the property had to be (or planned to be) let for a claim to be made. And that's key here, because while I appreciate the policy name may not sound like it fitted with Ms S's plans, it's the substance of what it covered that's important. Ms S asked for a policy that would provide buildings cover while her home was unoccupied, and the policy IIS sourced did offer that cover. So while I can see why the policy name may have caused confusion, or given Ms S an impression that IIS thought she wouldn't understand the policy, I don't think that was intentionally so.

Ms S has said the name of the policy implies the property was let, and this might cause issues with her mortgage lender. But the policy was sold over ten years ago, and I've not been provided with any evidence to show there's been any detriment as a result of the policy's name during that time. So, on balance, I don't think it's very likely to cause problems in the future. And even if it did, as I've said, the policy met Mr and Ms S's needs and they were aware of its name when the policy was taken out, so that's not something IIS could fairly be held responsible for.

Given the policy covered Ms S for what she asked for, I'm satisfied that IIS used the information it was provided with at the time and took reasonable care to ensure the suitability of its advice and recommendation. So having taken everything I've seen and heard into account, I'm not persuaded the policy was mis-sold.

Moreover, I think the advisor provided adequate information for Ms S to understand the level of cover it provided. I've also noted the advisor did offer to source cover through another insurer if Ms S wasn't happy, but made it clear this would be more expensive. So I think Ms S was given clear and accurate information about what the policy covered to decide if she wanted to buy it.

Ms S has said her doubts over the suitability of the policy were caused recently, when she looked at her policy documents. But I've seen the policy documents were sent to Ms S after her calls with IIS in 2010. These documents provided the key information necessary to make an informed decision about whether the recommended policy was indeed suitable. I wouldn't expect IIS to provide a variety of policies if it could find one that met the needs its customer had outlined and, given what Ms S asked for, I'm satisfied it did that in this instance.

In hindsight Ms S might have liked a policy to cover faults arising from the builder's workmanship, but if that was the case, I don't think it was made clear to IIS at the time. There were extensive discussions around the level of cover the policy provided, and as I've said above, I'm satisfied IIS made it clear what would be covered.

I certainly appreciate Ms S's strength of feeling in the matter. But given what I've outlined above, while clearer discussion upfront about the policy name would've no doubt been helpful, I don't think IIS sold something unsuitable. So while I know my findings will come as a disappointment to Mr and Ms S, I'm satisfied IIS fulfilled its responsibilities when it sold the policy, and I don't uphold this complaint.

My final decision

Mr final decision is that I don’t uphold this complaint.

Under the rules of the Financial Ombudsman Service, I’m required to ask Mr S and Ms S to accept or reject my decision before 7 January 2021.

Simon Louth
Ombudsman